

Bajaj Auto / Eicher Motors | Dual Coverage Note

The Second Attempt

Bajaj tried to take Royal Enfield's customer once before. It positioned Triumph as the aspirational upgrade — British heritage, modern engineering, a price step above Royal Enfield — and waited for the buyer to stretch. He didn't stretch. GST 2.0 has now forced Bajaj off that elevated perch and into Royal Enfield's price territory for the first time. The question that animated our 2022 Triumph India initiation is back on the table: can Bajaj win the Royal Enfield customer? The conditions have changed. So has our answer — but only partially. The product gap has closed. The distribution gap has not. Whether this second attempt ends differently from the first depends almost entirely on how aggressively Bajaj chooses to back what GST 2.0 has handed it.

*Bajaj Auto | Eicher Motors | Two-Wheelers | June 2026 Follow-up to "Triumph's Indian Gambit"
— February 2022*

The Story

When Bajaj Auto launched the Triumph Speed 400 in July 2023, the commercial logic was clean. Royal Enfield had built the most loyal customer base in Indian two-wheelers — but loyalty, the argument went, was not the same as satisfaction. The RE buyer wanted something more capable. He simply couldn't afford it. Triumph, manufactured in Pune at Bajaj's Chakan facility, would give him more: modern DOHC engineering, 37 horsepower, liquid cooling, a century of British racing heritage — and at ₹2.33 lakh, a price step small enough to be reachable and large enough to feel like an upgrade. The gap to the Classic 350 was ₹43,000. The gap to the Hunter 350 was ₹83,000. Bajaj had diagnosed the RE customer's latent dissatisfaction and written a prescription.

The prescription was wrong about the diagnosis. Three years and two model cycles later, Triumph India's monthly volumes remained in the low thousands, Royal Enfield's segment share closed FY26 at 93% — virtually identical to where it stood when Triumph launched — and the RE buyer had demonstrated, with remarkable consistency, that he was not dissatisfied. He had chosen a Classic 350 because he wanted a Classic 350. The thump, the posture, the unhurried long-stroke character, the community, the resale certainty — these were not deficiencies that a better-specified motorcycle could remedy. They were precisely the purchase. Triumph had brought a technically superior product to a buyer for whom technical superiority was beside the point.

GST 2.0 arrived in September 2025 and changed the conditions of the contest, though not in the way most commentary has characterised. It did not suddenly make Triumph compelling on product — Triumph was already compelling on product. What it did was make Bajaj's above-350cc positioning structurally untenable overnight. A 22-percentage-point tax cliff now separates 349cc from everything above it. Kept at 398cc, the Triumph lineup would have sat at a ₹35,000-50,000 structural price disadvantage against Royal Enfield's 349cc bikes. Bajaj had no commercial choice: bore the engine down, reprice, relaunch. The second attempt — unplanned, tax-forced, but now live — began in April 2026.

We have spent time on the ground since. Dealer visits across Mumbai and Pune in May 2026 produced primary evidence that is, in places, surprising. What we found did not settle the question — but it sharpened it considerably. Royal Enfield showrooms are running three-month waiting periods on standard models. Triumph is delivering within forty-eight hours. The demand asymmetry is unmistakable. So is the product asymmetry — Triumph's salesperson is better trained, the warranty terms are genuinely superior, and the service anxiety that suppressed the first attempt's conversions is, at least in Mumbai, beginning to be addressed. But the Royal Enfield salesman who has driven his Classic 350 for nine years and says he will never touch another bike is also real evidence. So is the young Hunter buyer who cross-shopped Triumph and came back.

Our view, stated plainly: this is not the same contest as 2022. The pricing has changed materially. For a specific and identifiable buyer — young, urban, first premium motorcycle, Hunter 350 consideration set — Triumph is now a genuine lateral choice, not an aspirational stretch. That matters. But the outcome depends on a strategic decision Bajaj has not yet made publicly: whether to invest in Triumph's distribution at the scale and pace required to make this a national story rather than a metropolitan one. The product case is made. The distribution case is not yet funded. Watch Bajaj's dealer count, not Triumph's horsepower. The former determines everything.

Investment Conclusion

We are constructive on Bajaj Auto and watchful on Eicher Motors.

Bajaj's two-wheeler premium franchise has more structural credibility today than at any point in the last decade. Triumph now competes at Royal Enfield's price point, with a globally recognised brand, on a fully amortised platform. The R&D is sunk. The manufacturing is running. The incremental margin on volume is real. The market is still pricing Bajaj's premium two-wheeler story as an experiment that has not proved itself. We think that characterisation is stale.

Eicher is a franchise that remains largely intact but is, for the first time, under genuine competitive pressure in a segment it has owned without contest. The Classic 350 and Bullet 350 are defended by loyalty that is deep enough to be irrational — and we mean that as a compliment. The Hunter 350 is a different case. It is Royal Enfield's most modern, fastest-growing model, designed for exactly the buyer Triumph is now targeting at price parity. Hunter contributes approximately 18-20% of Royal Enfield's total 350cc volumes. It is not the whole franchise. It is the margin of growth. And above 350cc, the GST wall that Eicher's premiumisation story must now climb is permanent and steep.

We maintain Market-Perform on Eicher with a downward bias that crystallises — or doesn't — at festive season FY27. We are constructive on Bajaj, with the size of our conviction tied directly to the pace of Triumph's distribution expansion over the next four quarters.

The single variable that determines our next move on both stocks: Triumph India's dealer count outside the top ten cities by December 2026. That number tells us whether the second attempt is serious.

1. Triumph in India — A Decade of Trying

To judge the second attempt fairly, the first attempt deserves a proper accounting. It has been more instructive than the headline volume numbers suggest.

Triumph Motorcycles arrived in India in 2013, initially as a completely built-up import — CBU units assembled in the UK and Thailand, landed at Indian ports, sold to a wealthy niche buyer through a handful of premium dealerships. The positioning was unambiguously aspirational: Bonneville T100s, Tigers, Thunderbirds, priced at ₹7-12 lakh. This was not a mass-market play. It was a brand-establishment play — building awareness and credibility among the upper segment of Indian riders before the volume market became addressable. Triumph India in this phase had perhaps thirty to forty dealerships and volumes that would have been rounding errors on any serious volume forecast.

The strategic inflection came in 2020, when Bajaj Auto and Triumph Motorcycles UK announced a partnership that changed the nature of the India story entirely. Bajaj would co-develop and manufacture a range of mid-sized Triumph motorcycles at its Chakan facility in Pune. The bikes would carry full Triumph branding and DNA — British styling, Triumph's engine character, genuine parent-company involvement in engineering — but would be built in India at Indian costs and sold at Indian prices. The first product of this partnership, the Speed 400, launched in July 2023 at ₹2.33 lakh. A scrambler variant followed. CBU imports of larger-displacement Triumphs — the Tiger 900, the Bonneville T120, the Rocket 3 — continued alongside the locally manufactured range, keeping the brand's aspirational ceiling intact.

Exhibit 1: Triumph India — From CBU Import to Local Manufacture

Phase	Period	Model range	Manufacturing	Price range	Bajaj involvement	Strategic intent
CBU import era	2013–2022	Tiger, Bonneville T100/T120, Thunderbird, Street Twin	UK / Thailand CBU	₹7–15 lakh	None	Brand establishment; premium niche
Partnership transition	2020–2023	Announcement; product co-development	Chakan facility built out	—	Design and manufacturing JV signed	Volume market entry in preparation
Local manufacture — Phase 1	2023–2025	Speed 400 (398cc), Scrambler 400 X (398cc)	Pune, Chakan — fully local	₹2.33–2.64 lakh	Full — engine, assembly, distribution	Aspirational upgrade from RE; 398cc positioning
Local manufacture — Phase 2	April 2026 onwards	Speed T4, Speed 400, Scrambler 400 X, Bonneville 350 — all at 349cc	Pune, Chakan — fully local	₹1.85–2.60 lakh	Full	GST-forced repositioning ; RE price-point entry

Phase	Period	Model range	Manufacturing	Price range	Bajaj involvement	Strategic intent
CBU continues (large displacement)	Ongoing	Tiger 900, Speed Triple, Rocket 3	UK / Thailand CBU	₹12–21 lakh	Distribution only	Aspirational ceiling; brand halo

Source: Company announcements, Triumph India press releases, Bernstein research.

Three things about this history matter for the current analysis. First, the local manufacturing shift is complete and irreversible — the Chakan facility is running, the supply chain is established, and Triumph's 349cc bikes are as domestic as Royal Enfield's in terms of manufacturing economics. The spare parts anxiety that suppressed first-attempt conversions is being actively addressed; our dealer visits in May 2026 were explicitly told that parts manufactured in Pune are available across the service network without the lead times that plagued the CBU era. Second, the CBU halo — Tiger 900s and Rocket 3s in the same showroom as a ₹1.89 lakh Speed T4 — is a genuine brand asset. The aspirational ceiling makes the entry-level price feel like a bargain rather than a compromise. Royal Enfield cannot replicate that architecture. Third, and most importantly: the partnership gives Bajaj full commercial control over Triumph's India distribution, pricing, and expansion decisions. Whether Triumph's India dealer network grows from 150 to 400 outlets over the next three years is Bajaj's decision alone. That fact concentrates our analytical attention precisely where it belongs.

2. What GST 2.0 Actually Did — Forced Repositioning, Not Strategic Aggression

The tax change is widely understood as having created an opportunity for Bajaj. The more precise framing is that it created an obligation.

Before September 2025, motorcycles across the 300-400cc range attracted broadly similar GST rates — there was no meaningful fiscal cliff between 349cc and 398cc. Bajaj's above-350cc positioning was a free commercial choice. GST 2.0 made it expensive to maintain.

Exhibit 2: The GST Shock — What Changed Overnight

Bracket	GST before (effective blended)	GST after	Change	₹ impact on ₹2L motorcycle	₹ impact on ₹3L motorcycle
≤350cc	~28%	18%	–10pp	–₹17,000 (benefit)	–₹26,000 (benefit)
>350cc	~28-31%	40%	+9-12pp	+₹18,000–24,000 (penalty)	+₹27,000–36,000 (penalty)
Gap across 350cc line	~0-3pp	22pp	+19-22pp	₹35,000–41,000	₹53,000–62,000

Source: Government of India GST Council notification, September 2025.

With the full 22-point gap now operative, Bajaj's 398cc Triumph lineup was sitting at a structural price disadvantage that it had not budgeted for. The engineering response — boring the 398cc single to 349.13cc, retaining stroke and losing almost nothing in performance — was trivial in execution. The commercial unlock was significant. Six Triumph variants relaunched at 349cc in April 2026; the Pulsar NS400Z, Dominar 400, and KTM 390 Duke followed within weeks.

Exhibit 3: The Repricing — What GST 2.0 Did to the Triumph vs. Royal Enfield Price Gap

Triumph model	Old price (₹L) at 398cc	New price (₹L) at 349cc	Price reduction	RE equivalent	RE price (₹L)	Old gap (Triumph vs RE)	New gap (Triumph vs RE)
Speed 400	2.33–2.40	2.15–2.25	–₹15-18k	Classic 350	1.90–2.16	+₹17–50k	+₹0–35k
Speed T4	~2.10	1.85–2.00	–₹10-15k	Hunter 350	1.85–2.00	+₹10–60k	₹0–10k
Scrambler 400 X	2.64	2.45–2.60	–₹10-15k	Himalayan 450	2.85–3.20	–₹20-55k (Triumph cheaper)	–₹25–75k (Triumph cheaper)
Bonneville 350	— (new)	~2.40–2.60 (est.)	New entry	Classic 350	1.90–2.16	n/a	+₹25–45k

Source: Company price lists, dealer quotes, Bernstein estimates. All prices ex-showroom Mumbai.

The Speed T4 row tells the whole story in one line. A gap of ₹10,000-60,000 — wide enough that the Hunter buyer was simply not cross-shopping — has compressed to ₹0-10,000. That is not a smaller premium. It is price parity. For the first time, a buyer choosing between a Hunter 350 and a Triumph Speed T4 is making a lateral decision: same segment, similar price, two very different propositions. The nature of the competitive conversation has changed fundamentally.

3. In the Field — What We Found

Dealer visits conducted across Mumbai and Pune, May 2026. Observations are first-hand.

The Royal Enfield studio.

The first thing the salesperson mentions, before anything about the product, is the waiting period. Standard models: three months. The make-to-order programme — bespoke colour combinations, specific accessory configurations — carries a 45-60 day wait at a ₹5,000-6,000 premium over the standard list price. He mentions this not as an apology but as a credential. The waiting period is the demand signal, and the showroom knows it. A three-month queue is not a supply chain failure. It is evidence that the brand is operating at a level of demand its plant — running close to full capacity — cannot immediately absorb.

The store itself has been designed to feel like a destination rather than a showroom. Dark walls, amber lighting, the Classic 350 variants arranged with space between them. The feel is deliberate —

cult, not retail. Every surface reinforces the same message: this is not a transaction, it is an initiation. The salesperson himself has driven a Classic 350 for nine years. He tells us this unprompted, and we believe him entirely. When asked about Triumph, he pauses — not out of concern, but out of the mild bemusement of someone being asked to compare their religion to another. "Triumph is for someone who wants performance," he says. "This is for someone who wants to feel something." He then walks our Hunter enquiry to the service window and names three Royal Enfield-authorized service points within five kilometres. The move is practised. He has done it many times.

Footfall is strong. Four customers in two hours — not extraordinary, but purposeful. The buyers walking in have largely decided. The test ride is a formality for the Classic and Bullet enquiries. The Hunter enquiry — a young man in his mid-twenties — is the exception. He sits on three variants, asks specific questions, and mentions Triumph twice. He leaves without buying.

The Triumph showroom.

The Triumph showroom is also dark-walled and amber-lit — and this is the first interesting observation. Both brands have independently converged on the same visual language: cult, premium, unhurried. The aesthetic competition is closer than the product competition. The Triumph salesperson is noticeably better trained — more fluent on specification, quicker with comparison data, more practiced at handling the "but what about Royal Enfield?" question. When we ask him directly how he thinks about the competition with Royal Enfield, the response is immediate and, in its confidence, telling: "Royal Enfield is not our competition. Look at what we offer versus what they offer." He says this without hesitation, with the assurance of someone who has been told this and believes it.

He is wrong in a narrow sense — the Hunter buyer is clearly cross-shopping — and right in a broader one. The Triumph Speed T4 and the Classic 350 are not competing for the same person. But the Hunter buyer and the Speed T4 buyer overlap, and the salesperson knows this; he mentions Hunter enquiries three times in our conversation, each time with quiet satisfaction.

Delivery is within forty-eight hours. No waiting period. The contrast with Royal Enfield's three-month queue is stark — though its interpretation is ambiguous. Forty-eight-hour delivery could mean either that supply is ample or that demand is modest. In this case, it is both. Triumph's Pune facility can produce significantly more than current demand requires.

On the service anxiety question — the suppressor of the first attempt's conversions — the salesperson is prepared. Since the move to local manufacture in Pune, spare parts are available across the service network without the six-to-eight-week lead times of the CBU era. Service centres are opening in Mumbai's extended suburbs. The ten-year warranty — against Royal Enfield's three years standard, with a five-year extension purchasable at ₹6,000 — is deployed as a closing argument. The service interval is sixteen thousand kilometres or one year, whichever is earlier; he claims this is more generous than any competitor in the segment.

Whether this is enough to overcome the service network asymmetry — Triumph's roughly 150 outlets against Royal Enfield's 2,000 — is the question the showroom cannot answer, because the answer does not exist yet. In Mumbai, the anxiety is largely addressed. In Nagpur or Lucknow or Coimbatore, there is no Triumph showroom to walk into in the first place.

What the visits tell us.

The cross-shopping is real and new. Royal Enfield's salespeople encounter the Triumph name in Hunter conversations regularly; twelve months ago they did not. Triumph's salespeople hear about Hunter enquiries with a frequency that confirms the overlap. But — and this is the critical observation — conversion from cross-shopping to purchase at Triumph is not yet visible in volume data. The demand at Royal Enfield is validated by a three-month queue and a plant at capacity. Triumph is delivering in forty-eight hours. The aspiration competition is closer than it has ever been. The transaction competition has not yet begun.

One observation from the Royal Enfield visit stays with us. Their salesperson mentioned, as a matter of course, that when a young buyer walks in with his parents, the parents frequently drive the decision toward Royal Enfield. Brand legacy, service network familiarity, the certainty of a known resale value — these are parental considerations, not aspirational ones. The top-down purchase dynamic in Royal Enfield's favour is real, and it operates precisely in the Hunter buyer demographic that Triumph is targeting. A twenty-two-year-old who wants a Triumph Speed T4 but whose parents are paying may end up with a Hunter 350 not because he chose it but because they did.

4. The Buyer Question — Who Actually Switches?

Not every Royal Enfield buyer faces the same competitive exposure. The franchise is four distinct archetypes, and the risk is concentrated with surgical precision in one of them.

Exhibit 4: Royal Enfield — A Buyer Vulnerability Map

RE Model	Core buyer	Age	What drives purchase	~Volume share of RE 350cc	Nearest Triumph rival	Price gap	Susceptibility	Verdict
Bullet 350	Loyalist, repeat, semi-rural	35–55	Heritage, the original, community status	~20%	None	n/a	Negligible	Competition does not exist for this buyer
Classic 350	Icon buyer, heritage-led	28–45	Thump, resale certainty, brand community	~40%	Bonneville 350 (festive)	+₹25–45k	Low–Medium	Bonneville 350 is the first real test — but the price premium and thin distribution limit reach materially
Meteor 350	Weekend tourer, second	30–45	Distance ease, comfort,	~20%	None directly	n/a	Low	No Triumph model

RE Model	Core buyer	Age	What drives purchase	~Volume share of RE 350cc	Nearest Triumph rival	Price gap	Susceptibility	Verdict
	bike		cruiser character					shares the Meteor's ergonomic and use-case proposition
Hunter 350	First premium buyer, urban	18–28	Badge, lightness, modernity, price	~20%	Speed T4	₹0–10k	HIGH	Equal price, global brand, higher spec — genuine lateral choice for the first time

Source: SIAM model data, Bernstein dealer channel checks, company investor presentations.

The Hunter's 20% volume share understates its strategic significance. It is Royal Enfield's youngest, fastest-growing model, designed to recruit the sub-25 buyer at the base of the premium ladder. Approximately 30% of Royal Enfield's total customer base is now below 25, up from an estimated 18-20% five years ago. That demographic progression is the brand's most important long-term asset — and it is precisely the cohort the Speed T4 is now targeting at price parity. The Classic 350 generates today's cash. The Hunter generates tomorrow's franchise. Competitive exposure in the Hunter segment is therefore disproportionately important for the stock relative to its current volume share.

Exhibit 5: The Young Buyer — Testing the "Performance Preference" Hypothesis

The instinctive read is that younger buyers prefer performance and therefore Triumph wins the young Hunter buyer by default. Our field work suggests this is true for a specific urban segment and meaningfully less true everywhere else.

Buyer segment	Triumph brand recognition	Performance preference	Parental influence on purchase	Service anxiety	Likely outcome
Urban metro, 18–24, first bike	High — global bike culture, social media	Relevant — open to Triumph's pitch	Low — self-funded or partial	Low — Triumph outlets accessible	Genuinely switchable
Semi-urban, 22–28,	Medium — name known,	Moderate	Medium — parents often	High — nearest	Switchable only with

Buyer segment	Triumph brand recognition	Performance preference	Parental influence on purchase	Service anxiety	Likely outcome
aspirational	context thinner		involved	Triumph may be 40km away	distribution
Any buyer, parents driving decision	Low at parental level	Not relevant to parents	Very high — RE brand legacy and service familiarity dominant	High	RE wins by default — top-down purchase dynamic
Rural / Tier-3, any age	Very Low	Not relevant	High	Prohibitive — no Triumph presence	Not reachable by Triumph

Source: Bernstein dealer visits, Mumbai and Pune, May 2026.

The table above reframes where Triumph's genuine conversion opportunity sits. It is not "the under-25 buyer" in aggregate — it is the self-funded, metro-resident, Triumph-aware, service-proximate under-25 buyer. That is a real segment. In Mumbai, Pune, Bangalore, Delhi, and perhaps five other cities, it is large enough to matter. Outside those cities, the combination of lower brand awareness, parental influence, and absent service infrastructure means the Hunter buyer returns to Royal Enfield by default, not by conviction.

5. Triumph's Product Case — Genuinely Better, Differently Relevant

The product comparison between Triumph's 349cc lineup and Royal Enfield's 350cc models is not subtle. On almost every measurable dimension, the Triumph wins.

Exhibit 6: Triumph Speed T4 vs. Royal Enfield Hunter 350 — Head to Head

Specification	Triumph Speed T4 (349cc)	Royal Enfield Hunter 350 (349cc)	Edge
Engine	349cc DOHC single, liquid-cooled	349cc SOHC single, air-oil cooled	Triumph — modern architecture
Power	~37hp	~20.2hp	Triumph — 83% more power
Torque	32Nm	27Nm	Triumph
Kerb weight	~177kg	~181kg	Broadly comparable
Price (ex-Mumbai)	₹1.85–2.00L	₹1.85–2.00L	Equal
Warranty	10 years	3 years + 5yr extendable (₹6,000)	Triumph — materially better
Service interval	16,000km or 1 year	~5,000-6,000km	Triumph —

Specification	Triumph Speed T4 (349cc)	Royal Enfield Hunter 350 (349cc)	Edge
			significantly more generous
Spare parts (India)	Available — manufactured in Pune	Available — manufactured in Tamil Nadu	Equal
Dealership reach	~150 outlets	~2,100 outlets	Royal Enfield — overwhelming advantage
Service centres	~200, expanding	~4,000+	Royal Enfield — overwhelming advantage
Resale value (3yr)	Unestablished	~70% retention	Royal Enfield — known quantity
Character	High-revving, liquid-cooled, performance roadster	Low-revving, air-cooled, retro-urban	Fundamentally different

Source: Company specification sheets, dealer visits, Bernstein analysis.

The specifications table above is almost beside the point for the Classic and Bullet buyer — for whom character, community, and resale certainty matter more than horsepower or warranty terms. It is entirely the point for the Hunter buyer, who is younger, more spec-aware, and making his first premium motorcycle decision without the formed preferences that define the Classic buyer's purchase. To that buyer, 37hp versus 20hp at the same price, with a ten-year warranty and a longer service interval, is a genuinely difficult case to argue against on paper.

The argument against it in practice is the dealer visit experience itself. The Royal Enfield salesman who has driven his Classic for nine years is selling something the spec sheet cannot capture. The thump, the posture, the feeling — our own test rides confirmed this is not romantic exaggeration. The Royal Enfield 350cc engine's character is distinctive in a way that is either irrelevant to you or entirely the reason you are there. For the Hunter buyer discovering it for the first time, that character may or may not resonate. Whether it does determines everything.

6. Eicher's Two-Sided Problem — Core Under Pressure, Premiumisation Stalled

The Hunter conversation is where the near-term debate concentrates. For the Eicher stock, however, the medium-term problem sits above 350cc — and it is structural in a way that brand strength alone cannot address.

The same GST ruling that brought Triumph to price parity at 349cc simultaneously taxed Royal Enfield's entire aspirational range — Guerrilla 450, Himalayan 450, 650 twins — at 40%. These are the products the stock's premium multiple is paying for: the gradual migration upmarket toward

higher ASP, higher margins, a brand that competes at ₹3-5 lakh rather than ₹2 lakh.

Exhibit 7: The GST Wall Above 350cc — Eicher's Premiumisation Problem

RE Model	CC	GST	Indicative price (₹L)	Nearest Triumph rival	Triumph GST	Triumph price (₹L)	Price gap (RE premium over Triumph)	Character overlap
Himalayan 450	452cc	40%	2.85–3.20	Scrambler 400 X (349cc)	18%	2.45–2.60	+₹40,000–75,000	High — both adventure-oriented
Guerrilla 450	452cc	40%	3.30–3.50	Scrambler 400 X (349cc)	18%	2.45–2.60	+₹70,000–100,000	High — both modern adventure-roadster
Super Meteor 650	648cc	40%	3.50–3.80	No direct 349cc rival	—	—	Structural — 650 twin price gap vs. own 349cc range widens	Low
Interceptor / Continental GT 650	648cc	40%	3.35–3.65	No direct 349cc rival	—	—	Same as above	Low

Source: Company price lists, Bernstein analysis.

The Guerrilla 450 is the sharpest wound. Designed to attract the aspirational modern rider — younger, more performance-oriented, stylistically contemporary — it is now ₹70,000-100,000 more expensive than the Triumph Scrambler 400 X on pure tax mechanics before any brand conversation. Royal Enfield cannot close that gap without a GST amendment. There is no visible political appetite for one. The brand may be strong enough to sustain a ₹70,000 premium for some buyers. For how many, and for how long, is the question the stock is asking.

Royal Enfield's share in the 350cc-and-above premium segment has already declined from 77% in FY22 to 46% in FY26 — a 31-point erosion over five years, before the full weight of GST 2.0 is felt. This is the earnings upgrade path the market is paying for. It is now the segment where the competitive disadvantage is greatest and most permanent.

7. Bajaj's Portfolio Architecture — Opportunity and Internal Tension

Bajaj now fields three brands simultaneously at 349cc — Triumph, KTM, and Pulsar. The architecture is not without internal friction.

Exhibit 8: Bajaj's Full 349cc Portfolio — Three Lanes, One Platform

Brand	Model	Price (₹L)	Character	Target buyer	Competes with RE?	Internal overlap
Triumph	Speed T4	1.85–2.00	Value modern roadster	Urban premium, RE cross-shopper	Yes — Hunter 350	Overlaps Pulsar on price
Triumph	Speed 400	2.15–2.25	Premium roadster	Discerning urban	Partially — Classic 350 edge	—
Triumph	Scrambler 400 X	2.45–2.60	Adventure-roadster	Adventure buyer	Adjacent — Himalayan 450	—
Triumph	Bonneville 350 (est.)	~2.40–2.60	Classic retro — British	Heritage buyer, Classic 350 cross-shopper	Yes — first emotional test of Classic loyalty	Uniquely additive — no internal overlap
KTM	390 Duke	2.85–3.00	Hyper-naked	Performance aspirant	No	Clearly differentiated
Bajaj	Pulsar NS350Z	1.85–1.95	Performance naked	Mass-market upgrader	No	Overlaps Speed T4 on price
Bajaj	Dominar 350	~2.00	Sports-tourer	Touring enthusiast	No	Low overlap

Source: Company price lists, Bernstein analysis.

Five of seven models are not competing for Royal Enfield's buyer. The Pulsar NS350Z buyer wants 40 horsepower in a liquid-cooled performance naked — a rider who would not have looked at a Classic 350 in the first place. The KTM Duke buyer is track-inclined, performance-obsessed, and operating in an entirely different psychological universe from the RE buyer. These models are important to Bajaj's total 349cc volume story but largely irrelevant to the Eicher thesis.

The internal tension worth noting is between the Pulsar NS350Z and the Triumph Speed T4. Both sit at ₹1.85-2 lakh. Both are targeting the young urban buyer. Bajaj is, in effect, bidding against itself in that price band — a Speed T4 sale comes at the cost of a Pulsar sale, and vice versa. This does not change the total volume equation materially, but it does mean the net benefit to Bajaj from the 349cc deployment is smaller than the product count suggests.

The Bonneville 350 is the genuinely additive entry. It occupies a buyer profile — the heritage retro enthusiast, currently almost entirely owned by Royal Enfield — that no other Bajaj-portfolio product addresses. It is the one 349cc Triumph with no internal cannibalisation risk and a clear path to Royal Enfield share. It is also the product launching without prior precedent in India: the first motorcycle to fight Royal Enfield on emotional ground rather than rational specification. Whether the Classic 350 buyer considers it seriously, we will know at Diwali.

8. The Distribution Imperative — What Separates Attempt Two from Attempt One

The first attempt failed for three reasons: price was wrong, product character was misaligned, and distribution was thin. GST 2.0 has largely addressed the first. Our field work suggests the second was always overstated for the Hunter buyer. The third — distribution — remains exactly as thin as it was, and it is the variable that determines whether the second attempt ends differently.

Exhibit 9: The Distribution Gap — By City Tier

City tier	Examples	Royal Enfield outlets	Triumph outlets (est.)	Avg. distance to nearest Triumph	Service anxiety level
Tier-1 (Top 8 cities)	Mumbai, Delhi, Bangalore, Pune, Hyderabad, Chennai, Kolkata, Ahmedabad	Near-complete coverage	~120 of 150 outlets	<10km in most areas	Low — largely addressed
Tier-2 (Next ~40 cities)	Jaipur, Lucknow, Nagpur, Coimbatore, Surat, Bhopal, Indore, Kochi	~85% coverage	~25–30 outlets	>40km in most cases	High — suppresses conversion
Tier-3 and below	~400+ cities and towns	~60% coverage	~0	Not accessible	Prohibitive

Source: Royal Enfield and Triumph dealer locator tools, Bernstein analysis, May 2026.

The table above maps precisely where the competitive risk to Royal Enfield is confined. In Tier-1 India, Triumph's service anxiety is manageable and the brand is known. The competition is real. In Tier-2 India — where Royal Enfield has been growing its Hunter and Classic volumes aggressively and which now accounts for an estimated 40-45% of total Royal Enfield sales — Triumph is effectively absent. The Hunter buyer in Nagpur or Coimbatore who cross-shops Triumph online and then asks "where do I get it serviced?" receives an answer that ends the conversation.

This geography is the single most important reason Royal Enfield's franchise has not been seriously

tested by the first attempt. The competitive risk is, today, almost entirely confined to the top eight to ten cities. It is real in those cities. It is contained everywhere else.

Exhibit 10: Triumph Distribution Scenarios — What Each Means for Both Stocks

Scenario	Triumph outlets by Dec 2027	Tier-2 presence	Triumph monthly vol. (est.)	Implication for Eicher	Implication for Bajaj
Minimal commitment	150–200	Marginal	2,000–3,000 units	Threat stays metro; Hunter risk limited to top-10 cities; franchise intact	Premium story underutilised; optionality not exercised
Moderate expansion	250–350	Partial — 15-20 Tier-2 cities	4,000–6,000 units	Hunter risk spreads to 20+ cities; Bonneville 350 gets real metro traction	Two-wheeler premium story begins to re-rate
Aggressive rollout	400–500+	Meaningful — 30+ Tier-2 cities	7,000–10,000 units	National threat to Hunter; Classic loyalty genuinely tested; rating moves	Full re-rating of two-wheeler premium franchise; material EPS optionality

Source: Bernstein scenario analysis.

The critical signal is not Triumph's horsepower rating or warranty terms. It is the quarterly dealer count — and specifically how many of those dealers are outside the top ten cities. Bajaj's management commentary on Triumph India expansion is the single most important thing to listen for on the next earnings call. An explicit commitment to 400 outlets by FY28, with named Tier-2 markets, would change our rating on Eicher. Silence or vagueness confirms the base case.

9. The Watchlist

Exhibit 11: What We Track — Variables and Thresholds

Variable	Source	Frequency	Confirms threat to Eicher	Confirms moat holds
Triumph India dealer count — Tier-2 specifically	Company / dealer locator	Quarterly	>350 total, >80 in Tier-2 by Dec 2026	<250; stays metro-concentrated
Triumph India monthly volumes	SIAM model data	Monthly	Sustained >4,000/month by Q3 FY27	Plateaus <2,500; launch effect fades

Variable	Source	Frequency	Confirms threat to Eicher	Confirms moat holds
RE Hunter 350 volumes — model-level	SIAM	Monthly	Hunter softens while Classic/Bullet hold	Hunter holds; weakness, if any, is broad
Bonneville 350 order book and buyer demographics	Dealer channel	At launch (festive)	Strong orders; Classic buyer demographics; urban + Tier-2 reach	Weak opening; buyer is aspirational urban only
RE realization per unit	Quarterly results	Quarterly	<₹180k and declining	Stable-to-rising; mix normalises
RE 350cc+ premium segment share	SIAM	Quarterly	Continues below 46%	Stabilises; Guerrilla/Himalay an volumes recover
Bajaj Triumph capex and distribution commentary	Earnings call	Quarterly	Explicit Tier-2 expansion commitment	No commitment; Triumph treated as marginal
Royal Enfield waiting period	Dealer channel	Bi-monthly	Waiting period shortens significantly	Three-month queue maintained
Triumph delivery lead time	Dealer channel	Bi-monthly	Wait times emerge — demand catching supply	Forty-eight-hour delivery persists

The most important row: Triumph's Tier-2 dealer count. Everything else is a consequence of it.

10. The Verdict

The first attempt failed because the price was wrong. The product was not the problem then, and it is not now. GST 2.0 fixed the price for one specific model — the Speed T4 versus the Hunter 350 — and narrowed it materially across the broader lineup. That change is real, permanent, and has already produced the first observable competitive signal: Royal Enfield's salespeople are hearing the Triumph name in Hunter conversations in a way they were not twelve months ago.

The second attempt will succeed — genuinely, materially, in a way that moves Eicher's earnings and re-rates Bajaj's franchise — only if Bajaj commits to distribution investment at a scale it has not yet publicly signalled. Fifteen years of Royal Enfield's franchise dominance was built on brand, on community, on resale certainty. But it was also built on being present — two thousand dealerships, four thousand service points, a mechanic within ten kilometres of wherever you live in India.

Triumph at 150 outlets can threaten Royal Enfield in Bandra and Koramangala. It cannot threaten it in Nashik or Coimbatore or Bhopal. Not yet.

The Classic 350 and Bullet 350 are, in our assessment, structurally defended. The loyalty our dealer visits documented — the nine-year Classic 350 salesman, the top-down parental purchase dynamic, the cult that Royal Enfield has built over decades — is not a marketing claim. It is observable behaviour. The Bonneville 350 is the first emotional test of Classic loyalty and it deserves to be taken seriously. But it arrives at a premium, through thin distribution, against a brand that has had the field entirely to itself for two decades. The burden of proof is on Triumph.

The Hunter 350 is a different case — genuinely contested, for the first time, by a competitor at price parity. The Hunter buyer is younger, more persuadable, less anchored by the character preference that makes the Classic buyer immovable. He is the buyer Royal Enfield needs most for its long-term franchise health. He is also the buyer most likely to walk out of the Triumph showroom with the keys.

Eighteen to twenty percent of Royal Enfield's total 350cc volumes are Hunter. Above 350cc, the Guerrilla 450 faces a ₹70,000-plus structural price disadvantage against its nearest Triumph rival. Both of these represent real and present headwinds for a stock priced for a premiumisation journey that the tax structure has simultaneously incentivised below 350cc and penalised above it.

We are not sellers of Eicher today. The franchise is too strong and the evidence too early. We are, however, no longer comfortable buyers. Market-Perform, with the direction of our next move determined by one number: Triumph's dealer count outside the top ten cities by December 2026.

On Bajaj: the optionality is real and underpriced. Whether Bajaj chooses to exercise it is the question. We think it will. The infrastructure is built, the platform is amortised, the product is validated, and the price condition that defeated the first attempt has been resolved by the tax code. The rational course is to back this aggressively. We are constructive, and we become more so with every Triumph outlet that opens in a city where Royal Enfield currently competes uncontested.

The drawbridge came down by accident. Whether someone crosses it is a choice.

Exhibit Summary

Exhibit	What it shows	The argument it makes
1	Triumph India history — CBU to local manufacture	Sets the decade-long context; shows the partnership's strategic intent and its evolution
2	GST shock — rates before and after, ₹ impact	The structural shift quantified; makes the "forced repositioning" argument in one table
3	Model-by-model repricing — old gap vs. new gap	The most important table in the note — Hunter/Speed T4 parity is the whole thesis in one row
4	RE buyer vulnerability map — by model	Surgical precision on where the risk sits; Classic/Bullet defended, Hunter exposed
5	Young buyer hypothesis —	Tests the "youth = Triumph"

Exhibit	What it shows	The argument it makes
	segmented by geography and context	assumption; shows it is narrower and more conditional than it sounds
6	Speed T4 vs Hunter 350 — head-to-head spec	Product case for Triumph; warranty and service interval are the sleeper arguments
7	GST wall above 350cc — Guerrilla 450 problem	The second, structural Eicher risk; ₹70-100k disadvantage quantified
8	Bajaj's full 349cc portfolio — three lanes	Shows the architecture is coherent; also shows the Pulsar/Speed T4 internal overlap
9	Distribution gap — by city tier	Maps precisely where the competitive risk is contained; Tier-2 absence is the moat
10	Triumph distribution scenarios	Converts "watch distribution" into a decision matrix with explicit thresholds
11	Full watchlist	The actionable framework; Triumph Tier-2 dealer count as the lead indicator